

Banks

Functions of commercial banks

A commercial bank is a privately owned profit seeking institution whose main activities are to accept deposits and make loans. The most profitable activity of the commercial banks is to give away loans/advances the least profitable asset in the cash. They are also called clearing bank because accounts of people are cleared at the clearing department i.e. all the receipts and payments are adjusted in the accounts.

The basic functions of commercial bank are:

1. **Accepting deposits:** Deposits include sight and time deposits. Sight deposits are also called current account deposits. And time deposits are fixed saving deposits. The depositors of saving accounts receive interest income.
2. **Providing a convenient means of making payments:** This refers to demand deposits or current account where the bank provides facilities for receipts and payments without the use of cash.
3. **Loans to customers:** Banks provide loans to industries, private individuals and public authorities and charge interest on them.
4. **Other services:** Banks also provide services like issuing banks drafts, credit cards, and act as a trustee and transact foreign exchange.

Central bank**Role and importance of a central bank**

The role a central bank plays in an economy means that it can have a significant impact on households, firms and the performance of the economy. Its functions include:

- **Acts as a banker to the government.** Tax revenue is paid into the government's account at the central bank, and payments by the government for goods and services are made out of this account.
- **Operates as a banker to the commercial banks.** Holding accounts at the central bank enables commercial banks to settle debts between each other and to draw out cash, if their own customers are taking more cash from their branches than usual.

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- **Acts as a lender of last resort.** This means it will lend to banks which are temporarily short of cash.
- **Manages the national debt.** The national debt is the total amount the government owes. Over time, government debt tends to build up. The central bank carries out borrowing on behalf of the government by issuing government securities, for example government bonds, pays interest on these and repays them when they fall due.
- Holds the **country's reserves** of foreign currency and gold. The central bank keeps foreign currency and gold to influence the exchange rate.
- **Issues bank notes.** The central bank is responsible for printing notes and destroying notes which are no longer suitable for circulation. It also authorizes the minting of coins.
- Implements the **government's monetary policy.** The prime aim of this is to keep inflation low and steady. This involves controlling the money supply and influencing interest rates throughout the economy, by changing the interest rate it charges on its loans. The government may instruct the central bank to increase or decrease the money supply. In some cases, central banks implement interest rate changes decided by their respective governments. In other cases, central banks have been given the responsibility to set interest rates.
- **Controls the banking system.** Many central banks play a key role in regulating and supervising the banking system.
- **Represents the government** at meetings with other central banks and international organizations such as the World Bank and the International Monetary Fund.

Independence of central banks

A number of governments have given their central banks the authority to decide the rate of interest. The governments still decide the aims of their central banks and give them a target for inflation. The Bank of England, for example, is instructed to use the rate of interest to achieve an inflation target of 2%. If it thinks that there is a danger that the price level will increase by more than 2%, it is likely to raise the rate of interest whereas if it thinks it will fall below 2%, it is likely to lower the rate of interest.

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There are a number of advantages in allowing the central bank to decide the rate of interest for banking. Unlike a national government, a central bank is unlikely to be tempted to lower the rate of interest to win public support. Most central banks also have extensive knowledge of the banking system and the appropriate rate of interest to set.

Islamic finance

In a number of Islamic countries, commercial banks are not allowed to charge interest on bank loans. This is because many Muslims regard charging of interest, sometimes called usury, as a sin. Traditionally, Islamic banks have provided finance for firms by lending to them in return for a share in their profits. In recent years, more US and European commercial banks have sought to expand existing branches and open up new branches in Islamic countries in the Middle East and Asia. Most employ Islamic sharia scholars and experts who can issue religious edicts (fatwas) that approve financial products including loans. The US-based bank Citigroup, for example, has created an independent sharia advisory board of Islamic scholars to offer it advice.

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